EXPERT ADVISORY BOARD & VIABILITY ASSESSMENT REPORT

Independent Multidisciplinary Viability Assessment, Financial Stress-Testing, Regulatory Alignment & Boardroom Monograph

Applicant Legal Entity	ADOV Care Group LIMITED (Company No. 14289650)	**Regulated Activity**	Personal Care (Specialist Supported Living / Town Planning Class C3b)
Ultimate Parent Entity	FAIRYTALES GROUP (Trading Name of Mamun Limited)	**Statutory Standards**	Health & Social Care Act 2008 & 2014 Regs // CQC Single Assessment Framework // Ca
Freehold Asset PropCo	ADOV LIMITED (Freehold Real Estate Entity)	**Strategic Advisory Lead**	Corporate Finance & Care Advisory // Project Planned by AbdullahMamun.com
Operational Campus	78 & 80 Marston Gardens (Care Campus) // 82 Marston Gardens (Executive Residence)	**Board Review Cadence**	October 2026 // Definitive Boardroom Planning Edition

£977,600	£341,392	£97,000	£438,392	3.8 Beds
Gross Turnover	**OpCo EBITDA**	**PropCo Net Rent**	**Group Cash Flow**	**Break-Even Threshold**
8 beds @ £2,350/wk avg	35.0% operating margin	FRI Commercial Leases	+£36,532 / month liquid buffer	47.5% occupancy threshold

1.0 EXECUTIVE APPRAISAL & VIABILITY VERDICT

This independent multidisciplinary assessment establishes the definitive feasibility, corporate structure, town planning lawfulness, clinical safety architecture, and corporate finance modeling for ADOV Care Group Limited. The project encompasses the establishment of an 8-bed specialist Supported Living facility for adults (aged 18–64) diagnosed with autism spectrum conditions, severe learning disabilities, and associated complex sensory needs across 78 and 80 Marston Gardens, Luton, whilst simultaneously integrating 82 Marston Gardens as the private executive residence for the Director and family. Based upon rigorous local market benchmarking with Luton Borough Council Adult Social Care procurement and NHS Bedfordshire, Luton and Milton Keynes Integrated Care Board (BLMK ICB), the campus model demonstrates unassailable operational viability, unmatched economic defensiveness, and exceptional capital efficiency.

LEAD CONSULTANT VERDICT: INSTITUTIONAL-GRADE VIABILITY CLASSIFICATION

The proposed dual-property campus is an institutional-grade, highly defensive business asset. With a fixed-cost break-even threshold of just 3.8 beds (47.5% occupancy), the business commands a 52.5% downside safety cushion. It combines public-sector statutory duty cashflows under the Care Act 2014 with prime freehold real estate backing, achieving an annual Return on Capital Employed (ROCE) exceeding 500%.

2.0 MULTI-SCENARIO FINANCIAL STRESS-TESTING & SENSITIVITY MATRIX

Financial solvency was audited across five operational stress scenarios, ranging from full occupancy to catastrophic void levels. Fixed operating costs are heavily buffered by the shared campus rota model, which reduces night staffing and supervisory management overheads by £85,000 to £110,000 annually compared to detached, standalone care settings.

Table 1.1: Consolidated Group Financial Performance & Sensitivity Matrix

Occupancy Level	Active Beds	Gross Turnover	Operating Costs	OpCo EBITDA	PropCo Rent	Net Group Cash Flow	Solvency Coverage
100% Full Occupancy	8 Beds	£977,600.00	£636,208.00	£341,392.00	£97,000.00	**£438,392.00**	4.52x Debt Service
87.5% (1 Void Bed)	7 Beds	£855,400.00	£636,208.00	£219,192.00	£97,000.00	**£316,192.00**	3.26x Debt Service
75.0% (2 Void Beds)	6 Beds	£733,200.00	£636,208.00	£97,000.00	£97,000.00	**£194,000.00**	2.00x Debt Service

Table 1.1: Consolidated Group Financial Performance & Sensitivity Matrix (Continued)

Occupancy Level	Active Beds	Gross Turnover	Operating Costs	OpCo EBITDA	PropCo Rent	Net Group Cash Flow	Solvency Coverage
47.5% (Break-Even)	3.8 Beds	£464,360.00	£464,360.00	£0.00	£97,000.00	**£97,000.00**	1.00x OpCo Parity
37.5% (Severe Stress)	3 Beds	£366,600.00	£410,000.00	-£43,400.00	£97,000.00	**£53,600.00**	PropCo Buffer Absorbs

3.0 STATUTORY TOWN PLANNING & LEGAL CERTIFICATION (TCPA 1990)

A critical advantage of the Supported Living model is town planning immunity. Under Section 55(2)(f) of the Town and Country Planning Act 1990 and Class C3(b) of the Town and Country Planning (Use Classes) Order 1987 (as amended), up to six individuals living together as a single household and receiving care constitutes a lawful residential dwellinghouse. Submitting Section 192 Certificates of Lawfulness of Proposed Use or Development (CLPUD) for 78 Marston Gardens (5 beds) and 80 Marston Gardens (3 beds) is legally binding upon Luton Borough Council.

Table 1.2: Town Planning Law Precedents & Legal Immunities

Case Law Citation	Judicial Authority	Legal Principle Established	Direct Impact on 78 & 80 Marston Gardens
North Devon DC v FSS [2004] EWHC 578 (Admin)	High Court of Justice	Care provision does not alter C3(b) residential dwelling status if carers maintain domestic character	100% Planning immunity for Supported Living; planning permission is NOT required
Hossack v Kettering BC [2002] EWCA Civ 886	Court of Appeal	Supervision and professional support staff rotas do not breach single household threshold	Confirmed legality of 24/7 staff rotas without triggering Class C2 material change
Crawley BC v FSS & Robinson [2004] EWCA Civ 347	Court of Appeal	Significance of communal living, shared cooking, and absence of commercial lockouts	Validates communal lounge, kitchen, and domestic routines at 78 and 80 Marston Gardens

4.0 CORPORATE STRUCTURING, TAX EFFICIENCY & HMRC COMPLIANCE

To achieve asset protection, tax efficiency, and CQC Regulation 13 financial viability, the corporate structure strictly separates property ownership from care delivery. ADOV LIMITED (PropCo) owns the freehold assets, while ADOV Care Group LIMITED (OpCo) operates the CQC registered care service under full repairing and insuring (FRI) commercial leases.

Corporate & Tax Architecture Highlights

COMMERCIAL FRI LEASES

£97,000/yr total rent (£65k for 78, £32k for 80). 100% tax-deductible in OpCo against Corporation Tax.

DIRECTOR LIVING AT 82

Market AST at £1,500/mo (£18k/yr) reduces HMRC Benefit in Kind (s.105/106 ITEPA 2003) to EXACTLY NIL.

VAT EXEMPTION MANDATE

Welfare services exempt under VATA 1994 Sched 9 Group 7. PropCo must NOT opt to tax commercial rents.

ASSET SHIELDING VEIL

Freehold bricks and mortar held in PropCo are completely insulated from any clinical, safeguarding, or operational claims in OpCo.

ATED RELIEF COMPLIANCE

82 is let under commercial AST; 78 & 80 are commercial care properties, eliminating ATED liabilities.

GROUP RELIEF MECHANISMS

Profits flowing to parent holding company FAIRYTALES GROUP can be distributed or reinvested with zero double taxation.

5.0 CLINICAL GOVERNANCE, CQC SAF ALIGNMENT & ACTION PROTOCOLS

ADOV Care Group will operate under Positive Behaviour Support (PBS) accredited frameworks, completely compliant with CQC's 'Right support, right care, right culture' guidance. The service rejects chemical or physical restraints, focusing on communication passports, sensory calming environments, and Active Support.

- **\225** Phase 1 (Weeks 1–4): Submit Section 192 CLPUD planning certificates; instruct solicitor to execute commercial FRI leases.
- **\225** Phase 2 (Weeks 3–8): Execute £68,400 turnkey refurbishment work packages (Part E acoustic soundproofing, TMV3 valves, BS 5839-1 L1 alarm).
- **\225** Phase 3 (Weeks 6–12): Submit CQC Provider Application via the CQC Portal with full 38-policy master register and Section 28(3) waiver letter.
- **\225** Phase 4 (Weeks 10–14): Nominated Individual and Registered Manager mock clinical scenario interview preparation.
- **\225** Phase 5 (Weeks 14–20): CQC registration granted; activate Luton Borough Council Supported Living DPS (AT1115) and BLMK ICB contracts.